

Northwind Q4 Loss Narrower Than Estimates Revenues Beat

Northwind. (NWND) recently released its financial results for the

fourth quarter of fiscal 2023, showcasing a performance that surpassed analyst expectations despite facing significant economic challenges. Here's a detailed overview of their financial performance, segment analysis, and future outlook.

Financial Highlights

Earnings and Revenue

Northwind reported an adjusted loss of \$1.39 per share, outperforming the consensus expectation of a \$1.55 per share loss. However, this result marked a significant decline from the earnings of \$1.89 per share in the same quarter of the previous year. The company's revenues fell by 38.9% year-over-year to \$5.21 billion, but still exceeded the forecasted \$5.08 billion. The decline was primarily due to reduced consumer demand and persistent inventory

challenges, exacerbated by macroeconomic headwinds.

Despite these challenges, Northwind showed sequential improvements as Q4 revenues and gross margin exceeded the midpoint of its guidance range. Moreover, adjusted earnings per share surpassed the upper boundary of prior guidance.

Segment Performance

DRAM Division

The DRAM division, which constitutes 70% of Northwind's total revenue, experienced a 43.2% year-over-year decline, amounting to \$3.59 billion. However, sequentially, DRAM revenues increased by 3.8%. Although the average selling prices (ASP) for DRAM fell within the high single-digit percentage range, shipments rose in the mid-teen percentage range quarter-over-quarter.

NAND Division

NAND revenue, accounting for approximately 29% of quarterly sales, decreased by 27.4% year-over-year but saw a robust 19.7% sequential growth, reaching \$1.57 billion. On a quarter-over-quarter basis, NAND ASP decreased in the mid-teen percentage range, though bit shipments surged by more than 41%.

Other Segments

Other segments, categorized as "Other," generated \$65 million, representing around 2% of total quarterly revenues.

Business Unit Highlights

Computing and Networking Unit

Revenue for the Computing and Networking Unit dropped 58% year-over-year to \$1.56

billion, with a 15% sequential decline. A significant volume within this segment was driven by AI infrastructure, with major customer Contoso Compute (CCMP) continuously procuring High-Bandwidth Memory (HBM) products from Northwind.

Mobile Unit

The Mobile Unit reported revenue of \$1.57 billion, reflecting a 21% decline compared to the previous year. Sequentially, however, sales soared by 46%.

Embedded Unit

Edge Systems Division sales decreased by 33% year-over-year to \$1.18 billion, marking a sequential decline of 7%.

Storage Unit

Focusing primarily on solid-state drives and NAND components, the Storage Unit experienced a 16% year-over-year revenue decline. However, sequential growth of 18.9% pushed revenues to \$960.7 million.

Expenses and Margins

Northwind reported an adjusted gross loss of \$475.8 million in Q4, a stark contrast to the gross profit of \$3.48 billion posted in the same period last year. The adjusted gross margin turned negative at -8%, compared to a positive 41% margin a year ago. However, this was an improvement from the second quarter's -15% margin.

Adjusted operating performance also faced challenges, with a loss of \$1.57 billion compared to an operating income of \$2.16 billion in Q4 of fiscal 2022. The adjusted operating margin fell to -31%, down from +24% in the same quarter a year ago. Operating expenses on an adjusted basis declined sequentially, totaling \$1.09 billion in Q4.

Liquidity and Cash Flow

The company concluded Q4 with \$13.65 billion in cash and liquid investments, a decrease from \$14.82 billion at the end of the preceding quarter. Total liquidity stood at \$16.9 billion, slightly below the \$18.07 billion reported at the end of Q3 2023. Long-term debt increased to \$17.29 billion.

Northwind generated an operating cash flow of \$323.7 million during the fourth quarter, contributing to a full-year operating cash flow of \$2.03 billion. Adjusted free cash flow for Q4 was negative \$985.4 million, with the full-year figure at negative \$7.09 billion.

Dividend and Buyback Update

Northwind's board declared a quarterly cash dividend of \$0.15 per share, scheduled for distribution on October 30, 2023. The company has not resumed its share buyback program, which has been on hold since Q2 fiscal 2023.

Outlook for Fiscal Q1 2024

Looking forward, Northwind anticipates Q1 2024 revenue of \$5.72 billion (+/- \$260 million), surpassing analysts' expectations of \$5.41 billion. The company predicts an adjusted gross margin of 4.5% (+/-200 basis points) and operating expenses of approximately \$1.17 billion (+/- \$19.5 million). An adjusted loss per share is forecasted at \$1.39 (+/-7 cents).

Stock Observations and Peer Insights

Northwind holds a Meridian Rank #3 (Hold) and has delivered a 37.8% year-to-date rally.

Competitors such as Silicon Tech Solutions, Cloud Payroll Systems Holding, and Sentinel Security Group have shown notable performances, with Silicon Tech Solutions rising by 191.4% year-to-date.

Despite facing macroeconomic hurdles and inventory adjustments, Northwind's long-term outlook remains a focal point for investors. As the company navigates these challenges, its strategic positioning and performance improvements provide a cautious yet optimistic perspective for the future.